

# Euro area: a controlled methods comparison

Hakan Zeki Gulmez | Research brief | 7 October 2026

Euro area vs Türkiye

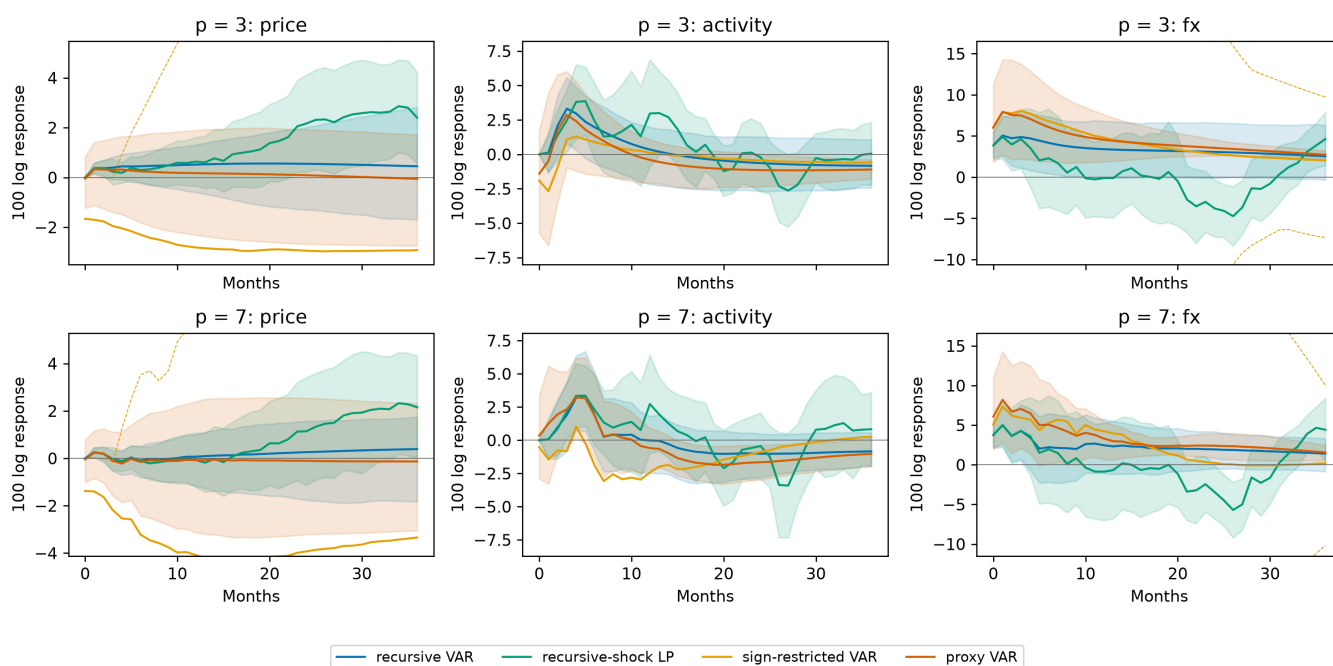
## Question

How do monetary-response estimates for the euro area and Türkiye depend on the shock-identification scheme and response estimator?

## Method

We compare recursive VAR, sign-restricted VAR, recursive-shock local projections and proxy VAR on a common euro-area sample, April 2005 to October 2025. Within each of two fixed lag panels,  $p = 3$  and  $p = 7$ , we hold variables, transformations, deterministic terms and shock size constant and trace a 100-basis-point tightening over 36 months. We use bootstrap bands for VAR responses, HAC bands for local projections and separately labelled sign-admissible ranges. We also compare three Türkiye specifications and interpret proxy estimates conditional on instrument validity.

Methods comparison on a common sample and lag specification  
April 2005-October 2025; identical usable VAR dates within both panels



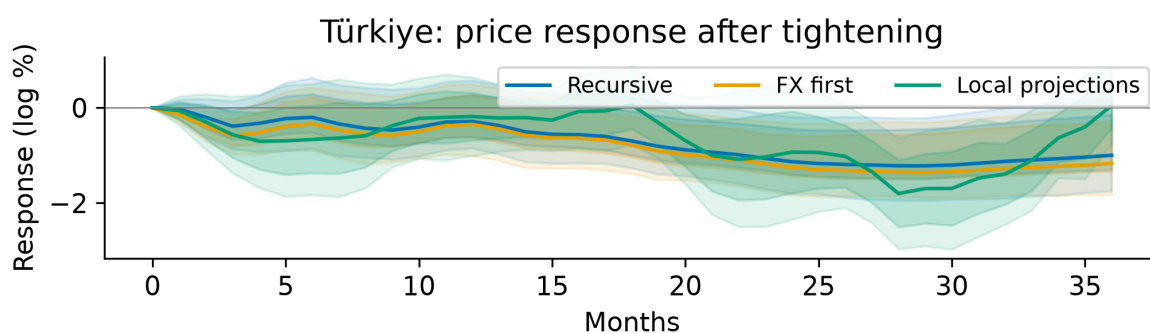
ECB and Eurostat; CBRT/EVDS and TURKSTAT; FRED; the Euro Area Monetary Policy Event-Study Database (EA-MPD).

# Three findings for the decision-maker

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1. The euro appreciates after a tightening: the proxy estimate at month 12 is 4.551 log percent with  $p = 3$  (1.889, 7.630) and 3.305 with  $p = 7$  (0.648, 5.505); both conditional 90% bands exclude zero.
2. The price response is uncertain: proxy estimates at month 12 are 0.172 and -0.078 log percent, with both bands including zero. Estimates also change sign across methods.
3. For Türkiye, the recursive price estimate at month 12 is -0.288 log percent. Recursive, FX-first and recursive-shock local-projection point estimates are negative, but their bands include zero.



100 bp tightening; 68/90% pointwise bands. CBRT-TURKSTAT/FRED; author calculations.

## Limitations

- Proxy exogeneity is assumed; its bands condition on fitted dynamics.
- Sign-admissible ranges are not statistical confidence intervals.
- Both common-sample VARs have slightly unstable dynamics.
- Local projections have fewer supported origins at longer horizons.
- Latest-vintage observations do not reconstruct real-time information.

Detailed assumptions, diagnostics and source lineage: the technical working paper and docs/PROVENANCE.md.